Just as the Musharraf regime's policy vis-à-vis militancy was nuanced after 9/11, so too was Lashkar's. The group's leadership continued to prioritize India as the main enemy, making it easier to reconcile the decision to maintain a relationship with the state. This also provided the group an opportunity to expand its own influence over the long term; an approach that argued for patience. But impulses within the organization to contribute to the jihad against America and its allies were impossible to ignore.

This chapter examines Lashkar's behavior from 2002–2005, looking at its 'good jihadi' and 'bad jihadi' activities respectively. A note on this choice of terminology is warranted. Though typically used to denote Pakistan's preferences regarding its various proxies, the terms 'good jihadi' and 'bad jihadi' are used here to denote those aspects of Lashkar's behavior that aligned with state interests (providing social services and waging a controlled jihad against India) and those that were anti-statist (contributing to the jihad against America and its allies as well as possibly participating in attacks against Pakistani officials). Before assessing Lashkar's behavior, it is important to explore in greater detail the evolving environment in which it was operating at the time.

In addition to banning several outfits after the Parliament attack, the Musharraf regime also temporarily clamped down on cross-LoC activity. Heavy US pressure contributed to these steps and helped to avert a war between India and Pakistan. According to one Indian account, New Delhi pulled back forces preparing to launch a limited incursion into Pakistan-administered Kashmir in early January after US officials provided evidence of Pakistan's efforts along the LoC.[8] The redeployment of Pakistani troops from the Afghan front to the border with India during this time period also closed the window that existed for a low-cost incursion. American officials also sought to persuade India of the importance of Musharraf's January 2002 speech. Although Indian Prime Minister Vajpayee remained reluctant to initiate a wider conflict, New Delhi remained skeptical and the Indian military continued to prepare for war with Pakistan.[9] The Indian government rebuffed Musharraf's proposal to resume talks on Kashmir, insisting that Pakistan cease its support for militancy as a precondition for any resumption of dialogue.[10] Because infiltrations typically increased in the spring when the snow melted, New Delhi was intent on waiting to see